

b) Changes in Working Capital

Next, we will move on to changes in working capital. We will enter the numbers as it is from the reported in Cash flow from operations by the company. We will enter all numbers as it is.

However, we will do one thing, we will divide the working capital changes in two parts - Operating working capital changes and Financial working capital changes.

This will help us understand if the working capital is being consumed for operating items or for financial items.

In general, for cash flow statements, we will use the numbers reported by the company. From theory we know that we can get Cash flow statement from the Income Statement and Balance Sheet that we have just completed. However, the company reports multiple line items in extreme detail which is not possible for us to calculate.

As a result, we will enter the numbers exactly as reported by the company rather than calculating numbers from Income Statement and Balance Sheet.



Movements in Working Capital:

(Increase)/Decrease in Operating Assets

Trade Receivables	(175.88)	(37.58)
Inventories	(278.70)	0.02
Non-Current Loans	(0.76)	(1.03)
Current Loans	0.49	(5.26)
Non-Current Financial Assets	(0.19)	(1.34)
Other Current Financial Assets	17.94	(32.57)
Other Non-Current Non Financial Assets	(4.20)	2.65
Other Current Non Financial Assets	(29.20)	(34.15)

Increase/ (Decrease) in Operating Liabilities

Trade Payables	354.61	41.70
Other Current Financial Liabilities	147.68	166.92
Other Non-Current Financial Liabilities	6.37	(75.61)
Other Current Non Financial Liabilities	(11.41)	32.79

Cash generated from Operations

	1,763.04	1,672.62
Taxes paid (net of refunds)	(370.91)	(393.07)

Net cash generated from Operating Activities [A]

1,392.13	1,279.55
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Financial Items



Operating Items

We will fill up each line item as reported by the company in the cash flow statement. We have identified Inventory, Accounts payable, accounts receivables, other non-current non-financial assets, other current non-financial assets, and other current non-financial liabilities as operating items and other items that are mentioned earlier as non-operating working capital.